

SZ: Soon after the Interim Budget, Moody's said India's debt-to-GDP ratio remains high, despite the fact that you projected a decline. Are rating agencies missing the point about the fiscal transformation the Modi government has been trying for the last 10 years?

A: It's good that you're saying it, and I've not said it. But that's the truth. Look at the debt-to-GDP number for developed economies. They are well beyond 200s and 300s, well over 100 in any case... their credit rating doesn't get affected by the debt to GDP [ratio]. So, when mine is well below 100, so let us say, if it matters to the rating agencies that my debt to GDP is not above 100, I have no answers to give.

SZ: Tax devolution in FY24 rose 16%; central transfers are equally high at 15%. But some voices from the South seem to suggest that it is getting a raw deal...

52 | A: It's entirely politically motivated, not backed by facts, or data, and above all, very divisionary and encourages secessionist statements. It is being done deliberately... If that is the case, look at the investments that are going to the South—not private, but government. Why does the Government of India invest then? It is because the country as a whole will have to leverage the strengths that exist in the country. From one area [in India, all] minerals come. Do we then allow that area to say without me giving you coal, iron ore, nothing will move? So, give me the entire earning—is that the way we look at it? Second, even within Karnataka, where the Deputy Chief Minister's brother has said, 'Look, we are not getting as much as we are giving. So, it might mean that we will have to form a separate country out of south India.' I would like to ask him, Bengaluru's contribution to Karnataka's income is disproportionately higher. If all citizens of Bengaluru say, 'We want to be a separate country,' what will the government in power, which is a Congress government, say? Are we okay with that kind of language? It's utterly irresponsible.

And above all, I think it's done with a purpose... to bring in that element of doubt in the minds of people who live in these regions to say, 'Oh, probably the government is not giving us our due.'

RK: At Davos, Raghuram Rajan told me to ask the government why our current growth prospects and forecasts are 2-3% lesser than what you said while you were in the Opposition. Look at China at a similar stage of development and the speed at which they grew, he



“Small savings in the name of retail funding is coming into the stock markets, and coming through demat accounts that are unique”